



Challenges, strengths and prospects of Pakistan in National and international perspective

Introduction

Pakistan is a country full of potential but also facing some tough challenges. Politically, it has seen instability that affects how the government operates. Economically, issues like high inflation and unemployment create hardships for many people. On top of that, security concerns and social inequalities make progress difficult. However, Pakistan has a lot going for it too. With a large, young population, a strategic location that connects different regions, and a rich cultural diversity, there are plenty of opportunities for growth. Internationally, while it deals with tensions and depends on foreign aid, Pakistan is building strong partnerships and actively participating in global organizations. Looking ahead, the country's future will depend on making important reforms, strengthening regional cooperation, and investing in education and renewable energy to create a more stable and prosperous environment for its citizens.

National Perspective

Challenges:

► Political Instability:

Pakistan's political landscape has been marked by turbulence since it gained independence in 1947. The country has experienced numerous military coups and leadership changes, with more than 20 prime ministers taking office in just the last three decades. This constant shift in leadership often leads to inconsistent policies, making it difficult for the government to implement long-term strategies.

The situation intensified in 2023 when former Prime Minister Imran Khan was ousted, sparking widespread protests across the nation. His removal deepened existing political divisions, leaving the electorate more polarized than ever. Many citizens began to question the legitimacy of the political processes, creating an atmosphere of distrust toward governance. This ongoing instability not only affects public confidence but also disrupts economic activities, as businesses and investors are wary of an unpredictable political environment. Without a stable government and clear direction, the challenges facing Pakistan become even more daunting.

Economic Issues:

► Inflation:

In 2023, Pakistan experienced inflation rates peaking at approximately 27%, significantly affecting the purchasing power of citizens and leading to a cost-of-living crisis.

► Public Debt:

The country's public debt has reached around 90% of GDP, limiting the government's ability to invest in infrastructure, healthcare, and education. High debt servicing costs further constrain fiscal space.

► Unemployment:

With an unemployment rate of about 6.3%, youth unemployment is a particularly pressing issue, estimated to be over 10%, highlighting the need for job creation and skills development.

► Security Concerns:

Pakistan's ranking on the Global Peace Index reflects ongoing security challenges, including terrorist threats and sectarian violence. The resurgence of groups like the Tehrik-i-Taliban Pakistan (TTP) continues to pose significant risks to stability.

The state's struggle to manage internal security and counter-terrorism efforts has implications for foreign investment and public safety.

► Social Issues:

Education: The literacy rate remains around 60%, with rural areas lagging behind urban centers. This educational gap hinders workforce productivity and innovation.

Poverty: Approximately 34% of the population lives below the national poverty line, exacerbated by inadequate access to basic services and social protection systems.

Strengths:

- ▶ **Youth Demographic:**

Over 60% of the population is under 30 years old, presenting a demographic dividend that, if harnessed through education and job opportunities, could drive economic growth and innovation.

- ▶ **Strategic Location:**

Pakistan's geographical positioning allows it to serve as a critical trade hub, linking Central Asia with South Asia. Initiatives like the China-Pakistan Economic Corridor (CPEC) are projected to boost GDP by 2-3% annually by improving infrastructure and connectivity.

- ▶ **Rich Cultural Heritage:**

With over 70 languages and a myriad of ethnic groups, Pakistan's cultural diversity is a significant asset for tourism, which could contribute substantially to economic recovery post-COVID-19.

- ▶ **Natural Resources:**

Pakistan is endowed with vast mineral resources (coal, copper, and gold) and fertile agricultural land. Strategic investment in these sectors can bolster the economy.

Prospects:

- ▶ **Economic Growth:**

The World Bank forecasts GDP growth rates of 3-4% in the coming years, contingent on structural reforms and investment in key sectors.

- ▶ **Regional Cooperation:**

Initiatives like the South Asian Association for Regional Cooperation (SAARC) have the potential to enhance trade relationships among member states, facilitating regional economic integration.

- ▶ **Investment in Education:**

The government aims to increase education spending to 4% of GDP, focusing on improving literacy rates and vocational training to equip the youth for a modern workforce.

- ▶ **Renewable Energy Development:**

With plans to generate 60% of its electricity from renewable sources by 2030, Pakistan is well-positioned to capitalize on its solar and wind energy potential, contributing to energy security and sustainability.

International Perspective

Challenges:

▶ **Geopolitical Tensions:**

Ongoing disputes with India, especially over Kashmir, continue to create regional instability. Military confrontations and political rhetoric heighten tensions, complicating diplomatic relations.

▶ **Dependence on Foreign Aid:**

Around 40% of Pakistan's budget relies on foreign assistance, primarily from the IMF, the U.S., and China. This dependency poses challenges to economic sovereignty and necessitates ongoing negotiations for financial support.

▶ **Global Perceptions:**

Concerns regarding human rights violations, as reported by organizations like Human Rights Watch, affect Pakistan's international image, potentially limiting foreign investment and cooperation.

Strengths:

- ▶ **Strategic Partnerships:**

Pakistan has deepened its ties with China through the CPEC, resulting in substantial investments exceeding \$62 billion. This partnership enhances infrastructure development and positions Pakistan as a key player in regional trade.

- ▶ **Active Participation in International Organizations:**

As a founding member of the Organization of Islamic Cooperation (OIC) and SAARC, Pakistan plays an active role in promoting dialogue and cooperation on regional issues.

- ▶ **Cultural Diplomacy:**

Cultural initiatives, such as the Lahore Literary Festival, foster soft power by promoting Pakistan's rich heritage and enhancing international cultural ties.

Prospects:

► **Belt and Road Initiative (BRI)**

Pakistan's participation in the Belt and Road Initiative (BRI) presents a significant opportunity for economic development. This ambitious global strategy, led by China, aims to enhance trade links and stimulate investments across Asia. For Pakistan, the BRI translates into critical infrastructure projects, notably the China-Pakistan Economic Corridor (CPEC). This includes the development of road networks, railways, and energy projects, which are expected to drive long-term economic growth by improving connectivity, boosting trade, and creating thousands of jobs across various sectors.

► **Regional Stability Initiatives**

Pakistan's commitment to regional stability is evident through its active participation in UN peacekeeping missions. With a longstanding history of contributing troops to various global peacekeeping efforts, Pakistan demonstrates its dedication to maintaining peace and security both regionally and internationally. This involvement enhances the country's global standing and fosters stronger diplomatic relationships with other nations, positioning Pakistan as a responsible player in international affairs.

► **Trade Opportunities**

The landscape for trade opportunities is also expanding, particularly with agreements such as the Pakistan-Afghanistan trade deal and improving relations with Central Asian countries. These initiatives are crucial for opening up new markets and creating vital trade routes that connect Pakistan with its neighbors. By facilitating trade, Pakistan can diversify its economy and reduce reliance on a limited number of markets, ultimately bolstering economic growth.

► **Climate Change Leadership**

Recognized as one of the countries most vulnerable to climate change, Pakistan is taking proactive steps in climate adaptation. One notable initiative is the Billion Tree Tsunami, which aims to combat deforestation and promote afforestation throughout the country. This ambitious project not only seeks to restore ecosystems but also positions Pakistan as a leader in environmental resilience. By investing in such initiatives, Pakistan is safeguarding its environment while contributing to global efforts to tackle climate change, showcasing its commitment to a sustainable future.

Conclusion

► Conclusion

Pakistan stands at a crossroads, with significant challenges that require urgent attention and effective governance. However, its strengths, particularly its youthful population and strategic location, offer remarkable opportunities for growth and development. By addressing internal issues and leveraging its international partnerships, Pakistan can pave the way for a more stable, prosperous future, focusing on sustainable development, economic reforms, and regional cooperation. The potential for progress hinges on collaborative efforts among stakeholders, ensuring inclusive growth and stability in the face of adversity.